

Institute of Actuaries of India

Subject CP3 – Communication Practice

July 2022 Examination

INDICATIVE SOLUTION

Introduction

The indicative solution has been written by the Examiners with the aim of helping candidates. The solutions given are only indicative. It is realized that there could be other points as valid answers and examiner have given credit for any alternative approach or interpretation which they consider to be reasonable.

Solution 1:

To: New Director of the Company

From: Appointed Actuary of the Company

Subject: Reserving approach in Motor Third Party Liability insurance

Date: DDMMYYYY

Dear Sir,

I am writing this with regard to my recent conversation with our CEO, where he has briefed me about your views on our reserving practices and its impact on Company's overall profitability. The attached note is prepared to address your concern on the above matter. I sincerely hope this will provide you necessary clarifications before the Board Meeting.

Regards

Name of the Appointed Actuary

Note on the reserving approach in Motor Third Party (TP) liability:

Policies are written by the Company on an ongoing basis where at any point in time such policies may have some part of the policy term expired and some remaining. At that point, claim reserves are set in two manners – one for the term remaining and the other for the expired part which may have resulted in claim.

While the former one is less subjective, the later one is where more complexities are involved, and Actuarial methodologies and assumptions are extensively used. This part comprises of the reserve for all claims which have been reported to the Company but not yet paid (in other term, outstanding claim reserve) and also the reserve for those claims which are yet to be reported but the claim event has already occurred (in other words, IBNR claim reserve).

The reserving exercise is carried out based on the way historically claims have been reported to the Company and subsequently settled. Usually, this aspect distinguishes different lines of business as in case of some, claims get reported very quickly and also settled faster – hence reserve is comparatively lower than the other types of business where claims take a significantly longer time to get reported. Motor TP liability falls under the second type where the Company needs to hold larger reserve to be able to meet all policyholders' liability in future.

Significance of Motor TP liability in Company's overall book:

While 75% of Company's overall premium income is from Motor line of business, 90% of the total reserve is with respect to Motor TP liability. Hence this line of business holds the key on how much reserve the Company needs to hold in totality.

Factors affecting the Motor TP reserve:

Mix of business plays an important role in reserving. We write three different segments in Motor business – i) Private Cars; ii) Commercial Vehicles and iii) Two-wheelers. Commercial vehicles are further categorized by the weight of the vehicle along with the weight of the load it carries. Amount of reserve to be set for these segments depend on the expected amount of future claims from the policies already underwritten. While the future claim experience from Private Car, Two-wheeler and lower weight category Commercial Vehicles are expected to be similar, it is much higher for Commercial Vehicles in higher weight categories. Due to strategic business decision around growth,

the Company in recent times, especially in last three years, has increased the business in higher weight category Commercial Vehicles. Thus, the share of Commercial Vehicle has increased from 1/5th to 1/3rd in last five years, which has led to increase in IBNR reserve.

Claims experience in Private Car segment is relatively much better than most of the Commercial Vehicle categories. As the share of Private Car has reduced, we were not able to see any favourable impact in reserving.

Estimation of IBNR in Motor TP liability

While estimating the IBNR, we consider how claims have been reported in past along with business growth and various actions taken by the Company towards claims management.

While majority of the Motor TP liability claims are usually reported within 4-5 years from the date of accident, it has been observed that in recent times, lesser number of claims are reported within first two years. This means that more time is taken to report claims to us. The longer the delay in claims reporting, more is the uncertainty about the quantum of claims to be paid. This aspect is considered appropriately through assumptions while setting up IBNR reserve and is more critical in Motor TP liability.

There are multiple methods for estimating IBNR in case of any line of business and the same is true for Motor TP liability too. Using certain assumptions, we project the total expected claim in future at any point in time, for example at the end of financial year. Comparing the output from different methods, we decide the IBNR estimate. I understand, you have a concern that we take the most prudent output while setting the reserve. But I can assure you, that is not the case always. For example, the IBNR with respect to Private Car TP and Two-wheeler TP as at 31st March 2022 were decided after applying a combination of different methods where the final figure is lesser than the most prudent approach.

It is true that the road conditions have improved. But as mentioned earlier, motor accident claims are usually reported with a time gap and hence any improvement is expected to be seen in claim outgo gradually.

Comparison with Competitors

You are right in your assessment that some of our competitors have similar business but better profitability. But to understand the real reason we need to look at the geographical mix of business of our Company and compare with others. More than half of our business in Motor segment are written in the Zone Z of the country. Usually, Motor TP liability claims are contested at the Courts and unfortunately, we have observed that the Courts in Zone Z are more lenient towards the claimant. This pushes up the claim outgo for Companies like ours, having high exposure in this zone. If you may notice from industry published reports, four of our key competitors have much lesser exposure in Zone Z which has possibly helped them to manage their claim payout better leading to comparatively better profitability.

Peer Review of reserving process

We have got our reserving process and IBNR estimation reviewed by an independent consultant. I can share with you that the appropriateness of the reserving process is agreed by the Peer Reviewer. But he has put emphasis on Motor TP liability reserve and recommended us to consider adequate year-on-year inflation in claims. Before releasing any reserve for apparent improvement in some of the areas as stated above should be done only after getting confidence that we have more than sufficient reserve for future claims payment.

[90 Marks]

Solution 2:

Any technical term the candidate considers as jargon with an explanation of why they considered it as jargon. There are a number of such jargons mentioned in the supporting material which someone from non general insurance background may find difficult to apprehend.

[4 Marks]**Solution 3:**

Any information that the candidate filtered. There are a lot of technical details of how reserving is carried out, utilisation of reserve, different methods with specific results, frequency, severity etc. Candidates should be able to demonstrate that they filtered this information while framing the response.

[6 Marks]
